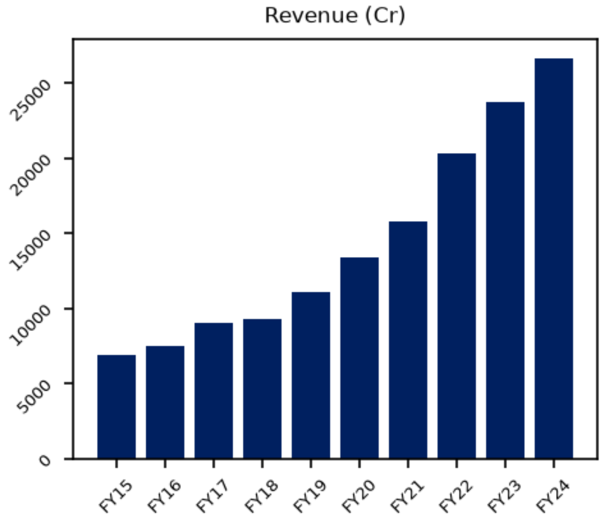
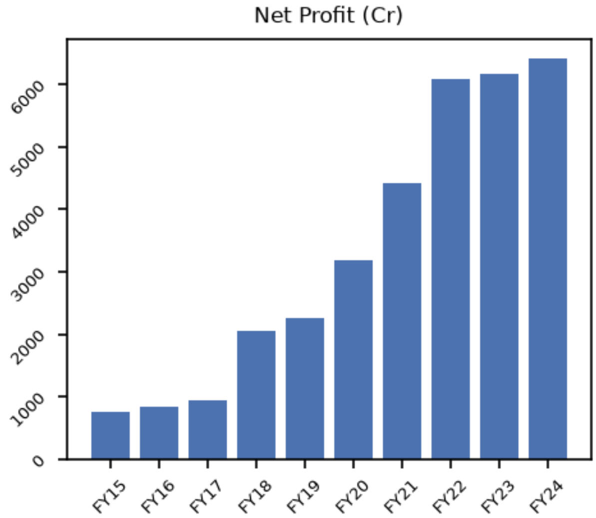
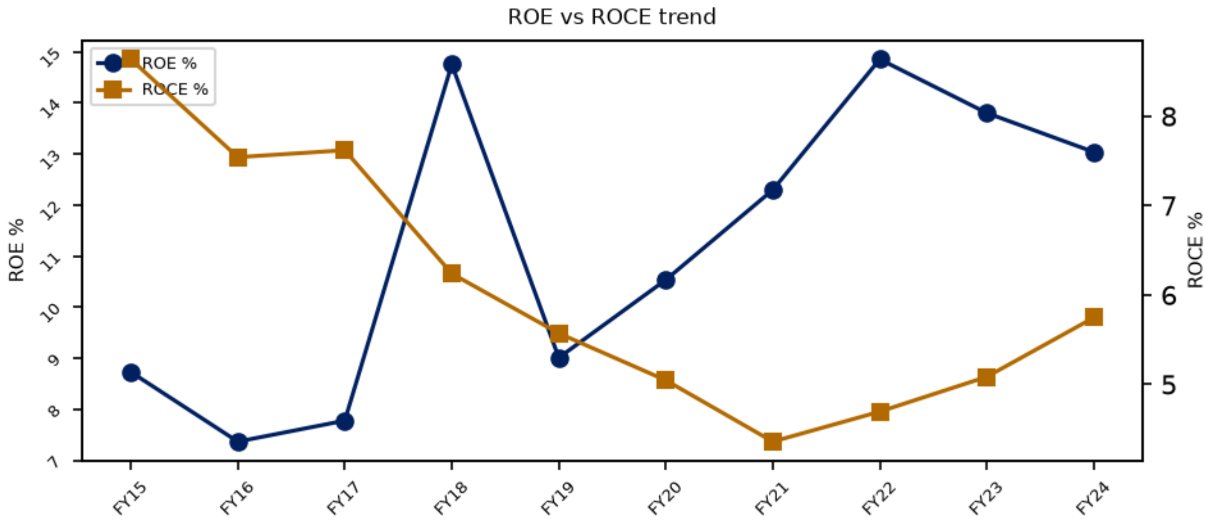
# **Indian Railway Finance Corporation Ltd** (IRFC) — Financials / Speciality Finance

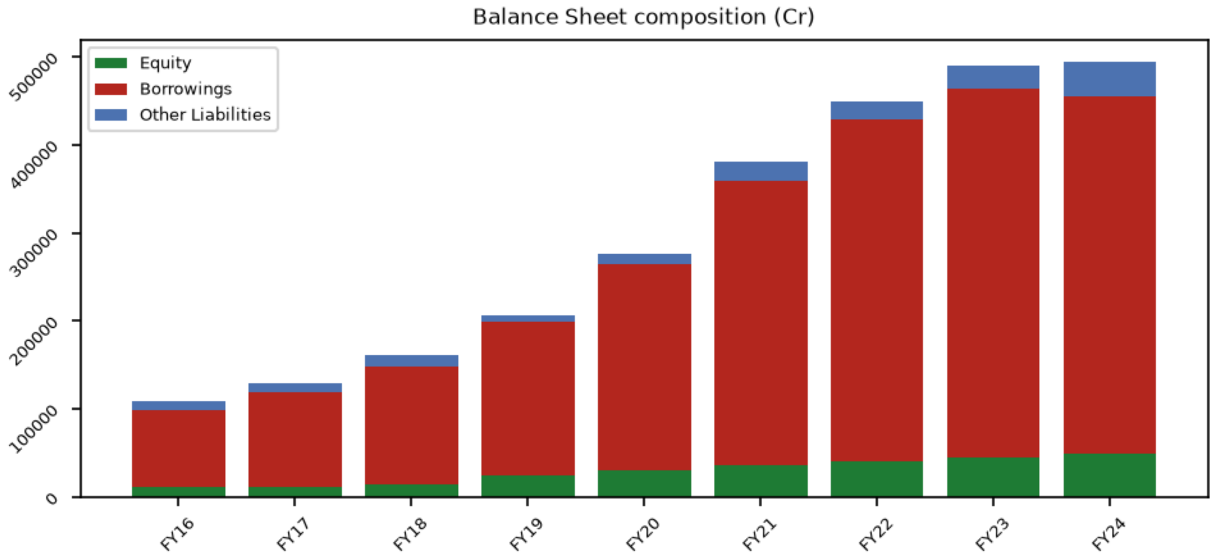
| | | |
|---|---|---|
| **13.0**<br>ROE % | **5.7**<br>ROCE % | **24.1**<br>Net Margin % |
| **8.4x**<br>D/E | **19.1**<br>Rev CAGR 5Y % | **9.8**<br>P/E |

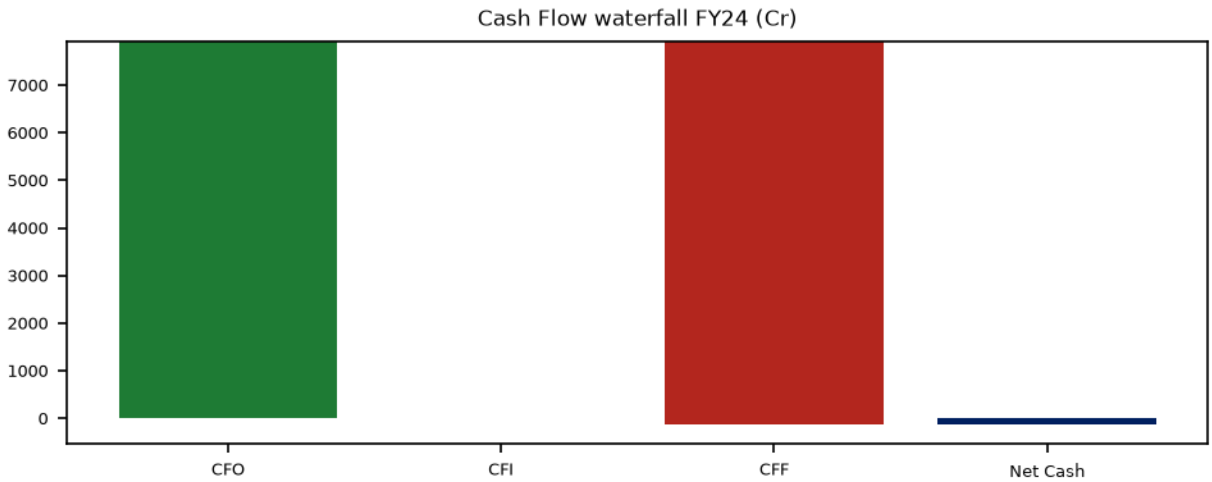


## IRFC — Balance Sheet & Cash Flow




### Pros

- Operating profit margin above 25% indicates strong pricing power and cost discipline
- Consistent dividend yield above 2% backed by positive free cash flow
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

### Cons

- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk

**Capital Allocation: Reinvestor - Debt Paydown**